**IN THE BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES**

**KING'S BENCH DIVISION**

**CIRCUIT COMMERCIAL COURT (KBD)**

**Claim No. CC-2025-LON-000512**

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B E T W E E N :

**WEXFORD CONSUMER BRANDS LIMITED**

*Claimant*

- and -

**PINNACLE SYSTEMS LIMITED**

*Defendant*

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# DEFENCE

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Save where expressly admitted, the Defendant denies each and every allegation in the Particulars of Claim as if the same were set out and traversed seriatim.

## The parties and the Agreement

1. Paragraphs 1 to 5 of the Particulars of Claim are admitted, save that it is averred that the Agreement, properly construed and read as a whole, allocated to the Claimant responsibility for the matters set out below, and that the express terms pleaded at paragraph 5 are to be read subject to the Claimant's own obligations under clause 7 and Schedule 4 (Customer Responsibilities).

## The Claimant's own obligations and defaults

2. It was an express term of the Agreement (clause 7 and Schedule 4) that the Claimant would: (a) provide complete, accurate and de-duplicated master data in the agreed migration template by 30 June 2024; (b) make available suitably authorised and knowledgeable subject-matter experts for design workshops and UAT; and (c) not introduce changes to its warehouse and despatch processes during the implementation without change control.

3. The Claimant was in breach of each of those obligations. In particular:

    (i) the master data supplied by the Claimant was materially incomplete and contained extensive duplicate and mis-mapped records, and was not delivered in usable form until 9 September 2024, over two months late;

    (ii) the Claimant's subject-matter experts were frequently unavailable, causing four design workshops to be cancelled; and

    (iii) the Claimant made repeated, unfunded changes to its despatch processes after the design freeze, which the Defendant raised in the Highlight Reports of 19 July and 23 August 2024.

4. The defects in the data migration of which the Claimant complains were caused by the poor quality of the data supplied by the Claimant, and not by any want of care or skill on the part of the Defendant.

## The go-live decision

5. As to paragraph 9(ii), it is denied that the Defendant proceeded to go-live unilaterally or recklessly. The decision to proceed to go-live at Banbury on 4 November 2024 was taken by the joint Project Board, on which the Claimant's Operations Director (Mr Henry Doyle) sat, and was approved in writing by the Claimant's project sponsor on 30 October 2024. The Claimant is estopped from, alternatively cannot now be heard to, complain of a decision it jointly took and approved.

## Scope and change control

6. Many of the functions the Claimant alleges were not delivered were either outside the agreed scope or the subject of post-contract change requests which the Claimant declined to fund through the change-control procedure at clause 9. The Defendant is not liable for failing to deliver functionality which was not within the scope of the charges.

## Breach denied

7. In the premises it is denied that the Defendant was in breach of clauses 4.1, 5.2, 6.3, 6.5 or 11 of the Agreement or of the term implied by section 13 of the Supply of Goods and Services Act 1982 as alleged or at all. It is denied that the Defendant repudiated the Agreement. The Claimant's purported termination on 24 January 2025 was itself a repudiatory breach, which the Defendant accepted by its letter of 31 January 2025.

## Causation and loss

8. It is denied that the Claimant has suffered the loss and damage alleged or any loss and damage caused by any breach on the part of the Defendant. The Claimant's losses, if any, were caused or contributed to by its own breaches and defaults pleaded above. No admission is made as to the quantum of any head of loss, each of which the Claimant is put to strict proof.

9. Further, the claim for £1,210,000 of business interruption and loss of profit is in any event irrecoverable as indirect and consequential loss excluded by clause 22.2 of the Agreement.

## Limitation of liability

10. If, which is denied, the Defendant is liable to the Claimant, the Defendant's aggregate liability is limited by clause 22.3 of the Agreement to the total charges paid by the Claimant under the Agreement. Clause 22 was an individually negotiated allocation of risk between two commercial parties of equal bargaining power, each professionally advised, and satisfies the requirement of reasonableness under the Unfair Contract Terms Act 1977. It is denied that any exception to the cap applies.

## Set-off and counterclaim foreshadowed

11. The Claimant has failed to pay the Defendant's invoices nos. 2024-0337 and 2024-0361 in the sum of £214,800 plus VAT for services properly rendered. The Defendant relies on that sum by way of set-off and will counterclaim for it together with the licence balance that fell due on go-live, as set out in the Counterclaim served herewith.

RICHARD ASHGROVE

*Counsel*

**STATEMENT OF TRUTH**

The Defendant believes that the facts stated in this Defence are true. I am duly authorised by the Defendant to sign this statement.

Signed: …… Dated: 6 June 2025

Name: A duly authorised director of Pinnacle Systems Limited

Stratford Coyle LLP — Solicitors for the Defendant